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SOMALIA

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FIFTH REVIEW UNDER THE EXTENDED CREDIT FACILITY ARRANGEMENT, REQUESTS FOR WAIVER OF NONOBSERVANCE OF A PERFORMANCE CRITERION, MODIFICATION OF PERFORMANCE CRITERIA AND INDICATIVE TARGET, AND INTERIM ASSISTANCE—DEBT SUSTAINABILITY ANALYSIS

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Risk of external debt distress:	*In debt distress*
Overall risk of debt distress	*In debt distress*
Granularity in the risk rating	*Sustainable*
Application of judgment	*No*

This debt sustainability analysis (DSA) provides an update of the June 2022 DSA. Total public debt is US$ 3.3 billion, or 40.8 percent of GDP at end-2022—nearly all of which is external (Tables 1 and 2).[1] The revised baseline scenario includes (i) updated macroeconomic assumptions, (ii) use of the 2021 SDR allocation, (iii) interim assistance received since the Heavily Indebted Poor Countries (HIPC) Decision Point in March 2020, and (iv) updated information consistent with debt relief agreements signed with Paris Club creditors. Somalia is in debt distress, both for external and overall public debt. The present value of external debt in 2022 is 40 percent of GDP, well above the 30 percent threshold for countries like Somalia with weak debt carrying capacity. The baseline forecast indicates substantial and sustained breaches of the PV of external debt-to-exports and the external debt service-to-revenues indicative thresholds in the absence of debt relief. Somalia is in arrears with external creditors, and debt restructuring negotiations are ongoing. Nevertheless, Somalia's debt is assessed as sustainable in a forward-looking sense, contingent on the full delivery of debt relief under the HIPC Initiative, Multilateral Debt Relief Initiative (MDRI), and beyond-HIPC assistance at the Completion Point (an alternative scenario under the DSA analysis). Full delivery of this debt relief would bring all debt burden indicators significantly below their respective thresholds, consistent with achieving a moderate risk rating at the Completion Point.

[1] The DSA reflects a debt carrying capacity of weak considering Somalia's Composite Indicator of 1.57, based on the October 2022 World Economic Outlook and the latest CPIA vintage (2021).

PUBLIC DEBT COVERAGE

1. Public debt data coverage is limited to the federal government. The coverage of public debt captured by the Debt Sustainability Assessment (DSA) is near complete.[2] There is no government guaranteed debt, there are no known liabilities of state-owned enterprises or subnational governments, and no public-private partnerships (PPPs) (Text Table 1).[3] Somalia's domestic financial institutions and local capital markets are not yet developed, and as such there is no domestic public debt aside from legacy government arrears. Default settings are applied to the DSA contingent liability stress test and no other tailored stress tests are applicable to Somalia. External debt for the DSA is defined on a residency basis. A reconciliation exercise of external obligations was finalized in conjunction with the March 2020 HIPC Decision Point document, and its findings continue to figure in this DSA.[4]

2. Progress on the HIPC Completion Point triggers (Annex II) and debt relief agreements suggest that reaching the HIPC Completion Point (CP) is feasible by 2023Q4—though it is important to note that the HIPC Completion Point (CP) is a floating milestone, with no pre-established timeframe and which will be reached when the country meets the agreed HIPC Completion Point triggers. In preparation for the possible CP, a new debt reconciliation exercise is expected in the first semester of 2023.

3. The Federal Government of Somalia (FGS) is strengthening its debt management capacity with the support of technical assistance from international partners. The Ministry of Finance established a Debt Management Unit (DMU) in December 2015. The AfDB financed the installation of a debt recording system and provided training to staff in the unit, primarily to support the reconstruction of loan records. The debt recording system is being upgraded to the Commonwealth Meridien System, which is a cloud-based IT system that will allow for an in-depth review of the existing portfolio. The DMU has been issuing quarterly debt bulletins since the end of 2020, and the quality of these bulletins has been improving with technical assistance from the IMF.[5] The coordination between the DMU and other departments is improving. The 2023 Budget Policy Framework Paper included a section on debt. The quarterly publication of the debt bulletin and improved treatment of debt issues in national budget documents were performance and policy actions (PPAs) under the IDA Sustainable Development Finance Policy.[6] A joint IMF-WB technical assistance mission took place in 2021 to establish a roadmap for strengthening debt management capacity, focusing on the legal framework, the institutional framework, as well as debt recording, monitoring, and reporting.

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[2] The World Bank and the IMF provide support to the government in this area through technical assistance, development policy financing, and the Sustainable Development Finance Policy (SDFP).

[3] Somalia's general government debt stock excludes a Russian claim on a non-central government entity. The claim concerns special correspondent accounts at the Central Bank of Somalia totaling about $7.5 million (or 0.1 percent of GDP). PPPs may potentially be agreed at some point in the future; the International Finance Corporation (IFC) is providing support on the legislative framework.

[4] See Somalia—Enhanced Heavily Indebted Poor Countries (HIPC) Initiative Decision Point Document (March 2020, Country Report No. 20/86).

[5] The publication of at least four consecutive quarterly debt reports is one of the triggers to reach HIPC Completion Point.

[6] The FY2022 Performance and Policy Action (PPA) is "PPA 2: The Recipient's Ministry of Finance (i) Publishes quarterly debt bulletins on the MOF's website; and (ii) submits information on debt statistics to parliament on the Draft Budget Act".

Text Table 1. Somalia: Public Debt Coverage

	Subsectors of the public sector	Check box
1	Central government	X
2	State and local government	
3	Other elements in the general government	
4	o/w: Social security fund	
5	o/w: Extra budgetary funds (EBFs)	
6	Guarantees (to other entities in the public and private sector, including to SOEs)	X
7	Central bank (borrowed on behalf of the government)	X
8	Non-guaranteed SOE debt	X

		Default	Used for the analysis	Reasons for deviations from the default settings
1	The country's coverage of public debt	The central government, central bank, government-guaranteed debt, non-guaranteed SOE debt		
2	Other elements of the general government not captured in 1.	0 percent of GDP	0.1	Potential increase in debt in dispute with Russia
3	SoE's debt (guaranteed and not guaranteed by the government) 1/	2 percent of GDP	0.0	No government guaranteed or non-guaranteed SOE debt in Somalia
4	PPP	35 percent of PPP stock	0.00	No PPPs exist in Somalia
5	Financial market (the default value of 5 percent of GDP is the minimum value)	5 percent of GDP	5	
	Total (2+3+4+5) (in percent of GDP)		5.1	

1/ The default shock of 2% of GDP will be triggered for countries whose government-guaranteed debt is not fully captured under the country's public debt definition (1.). If it is already included in the government debt (1.) and risks associated with SoE's debt not guaranteed by the government is assessed to be negligible, a country team may reduce this to 0%.

Source: Somali Authorities and IMF staff estimates.

BACKGROUND ON DEBT

4. The November 2020 DSA reported that the nominal level of the total stock of debt outstanding in 2019 was US$ 5.3 billion at end-2019, of which US$5.1 billion was in arrears. The vast bulk of this debt was with official creditors.[7] Most was owed to Paris Club (PC) creditors (58 percent), followed by multilaterals (29 percent), and non-Paris Club bilateral creditors (13 percent). All domestic debt (1.5 percent of GDP) represented central government arrears.[8]

5. Debt stock estimates for end-2022 reflect updates from information provided by the Somali authorities. The overall level of public debt stock is estimated at end-2022 at US$ 3.3 billion, or 40.8 percent of GDP (see Table 5). This estimate incorporates debt stock levels at end-2022 provided from the authorities for IDA, the IMF and the African Development Bank (AfDB) Group, as well as for all bilateral creditors that have already signed a debt relief agreement in 2020-22. For this set of creditors, debt stocks for 2022 differ from the 2021 estimates in the June 2022 DSA because of updates to the interim relief assumptions to reflect the terms of the actual agreements signed, exchange rate fluctuations, and amortization made from 2021 through end-2022 (to IDA and AfDB). For bilateral creditors that have not yet signed an agreement, it continues to assume the application of Cologne terms.[9]

6. Somalia has signed agreements with individual creditors to restructure its external public debt. The authorities continue to advance in negotiations around the modalities of a debt restructuring

[7] Of the US$191 million not in arrears, US$31 million and US$160 million were obligations to the African Development Fund and the International Development Association, respectively.

[8] Somalia's stock of domestic debt (estimated at US$68.8 million, end-2018) reflects the accumulation government wage arrears to civil servants due to constrained resources and longstanding weaknesses in public financial management. No new arrears have been accumulated since end-2017, and the authorities are committed to gradually clearing these arrears in line with available resources.

[9] Paris Club granted Somalia Cologne Terms on March 31, 2020, in the context of Somalia reaching the HIPC Decision Point; and it is assumed that applying Cologne Terms to creditors that have not yet signed an agreement with Somalia is consistent with the comparability of treatment provision embedded in the Paris Club agreement. Under Cologne terms, most HIPC countries receive a reduction in eligible pre-cutoff date non-official development assistance (non-ODA) debt of 90 percent in net present value (NPV) terms on debt service falling due and 67 percent in net present value (NPV) terms on arrears. Pre-cutoff date ODA credits are rescheduled on interest rates at least as concessional as the original interest rates over 40 years with 16 years grace period.

with most multilateral creditors (Arab Monetary Fund, Islamic Development Bank, Arab Fund for Economic and Social Development). International partners have indicated support for International Fund for Agricultural Development (IFAD) arrears clearance and HIPC debt relief.[10] In an agreement signed on March 31, 2020, countries of the Paris Club agreed to provide interim debt relief as part of the HIPC Initiative.[11] Debt relief and restructuring agreements have been signed subsequently with most Paris Club creditors, except Russia.[12] The authorities signed an agreement with the Kuwait Fund for Arab Economic Development (KFAED) on April 24, 2022.[13] The authorities report that negotiations are advanced with the Saudi Fund and the Abu Dhabi Fund. As of end-March 2023, debt relief agreements have been signed with creditors representing 68.4 percent of the NPV of debt after traditional debt relief. The Somali authorities are receiving technical assistance from the AfDB African Legal Support Facility to support the discussions on the restructuring debt with creditors.

7. Data weaknesses constrain macroeconomic analysis, limiting the significance of the results provided by the standardized stress tests in the Debt Sustainability Framework for Low-income Countries (LIC-DSF). Although data quality is gradually improving, important limitations remain due to a relatively short time series for national accounts data, substantial gaps in balance-of-payments data, and a heavy reliance on third-party data for trade estimates and secondary transfers. Direct investment data are currently estimated.

BACKGROUND ON MACROECONOMIC FORECASTS

8. Growth in 2022 was subdued, as Somalia was affected by multiple sources of shocks. Real GDP growth was estimated at 1.7 percent in 2022, compared to 2.7 percent projected in June 2022 DSA. The economy was affected by (i) climate-related shocks (a long drought spell with five consecutive failed rainy seasons); (ii) lower export growth (crops and livestock): and (iii) subdued growth of remittances (attributed in part to the impact of global inflation on the purchasing power of the diaspora community). The prolonged drought has contributed to widespread food insecurity. By February 2023, an estimated 8.3 million Somalis were affected by the drought, more than half of the population.[14] The government's response has focused on identifying the most affected areas, raising awareness to mobilize external funding, and coordinating with the UN system on delivery of humanitarian assistance. The substantial

[10] On February 3, 2023, IDA agreed to finance 85 percent of IFAD's share of HIPC debt relief to Somalia through the IDA-managed Debt Relief Trust Fund (DRTF), provided that DRTF donors support this arrangement. This financing will include compensation of up to one-third of the HIPC debt relief to be delivered by IFAD to Somalia in the interim period.

[11] For press release please refer to http://www.clubdeparis.org/en/communications/press-release/debt-relief-to-somalia-31-03-2020. It was also agreed, on an exceptional basis, that Somalia would not be required to make debt service payments until at least end March 2024, given Somalia's very limited payment capacity, and if it continued to implement satisfactorily an IMF-supported program.

[12] The authorities are actively engaged in negotiations on a debt relief agreement with Russia. An agreement with Russia on its Paris Club debt is subject to an agreement on the US$7.5 million debt excluded from the perimeter of the Paris club treatment.

[13] The agreement includes a clause which states KFAED is committed to delivering its full share of debt relief to Somalia under the HIPC initiative.

[14] United Nations Office for the Coordination of Humanitarian Affairs and ReliefWeb, Somalia Humanitarian Response Plan, February 2023. Accessed on March 28th 2023.

increase in imports, in particular food, was financed mainly through higher official grants, contributing to a stable current account balance of 16.8 percent of GDP.

9. Growth is expected to pick up modestly in 2023, weighed down by adverse climate conditions and a more challenging external environment. Growth is forecast at 2.8 percent, 0.8 percentage points lower than anticipated in the June 2022 DSA. Disappointing rains at end-2022 will hamper the full recovery of crop and livestock production in 2023. The impact of the climate-related disasters is being mitigated through the expanded rollout of cash transfers (supported by the World Bank, the World Food Program, and other partners). Inflation is expected at 4.2 percent in 2023 as commodity prices recede. However, near-term downside risks include, prolonged drought conditions or new weather-related shocks, resurgence of the desert locust infestation, additional pressures on international food and energy prices, security risks, and spillovers from geopolitical developments.

10. Budget grants and solid domestic revenue performance contributed to a small surplus in 2022. Domestic revenues increased to 3.2 percent of GDP in 2022, compared to 3 percent of GDP in 2021, thanks to strong non-tax revenues and the signing bonus for 7 petroleum production sharing agreements. Overall, domestic revenue mobilization continues to be dominated by trade-related taxes. Budget support grants increased from 0.5 percent in GDP in 2021 to 2.1 percent of GDP in 2022, following successful completion of reforms and the conclusion of elections in May 2022, followed by a peaceful transition of power. Project grants also increased from 1.4 percent of GDP in 2021 to 3.5 percent of GDP in 2022, including an expansion in social benefits. Total expenditure increased from 6 percent of GDP in 2021 to 8.8 percent of GDP 2022, resulting in a small overall surplus.

11. Over the medium-term, growth is expected to accelerate as the government undertakes reforms supported by the HIPC process, the ECF-supported program, and IDA development policy financing, though with some scarring from climate shocks. The average growth projection for 2023-27 has been marked down to 3.7 percent from 3.9 percent in the June 2022 DSA (Text Table 3). Growth over the medium- and long-term would be driven by: (i) confidence effects related to reaching the HIPC Completion Point (with ongoing progress suggesting CP may be feasible in 2023Q4) and enhanced access to international finance; (ii) continued political stability and reduced security risks; (iii) a gradual scaling up of public spending (in sectors such as energy, transport, education, health)—financed with domestic revenues and concessional borrowing—to support implementation of the national development plan and progress toward the sustainable development goals; (iv) financial deepening and financial inclusion as financial sector reforms pay off; and (v) greater FDI and private investment supported by improvements in the business environment, including security and governance. COVID-19 and climate shocks are expected to have lasting impact—including because of the negative effects on schooling and delivery of health services—and growth is expected at 4.5 percent over the long term, compared to 4.8 percent envisaged at the time of HIPC DP. Staff considers the medium-term growth forecast to be conservative, as it is below the median observed for HIPC fragile countries and similar to what was observed for Somalia during the period 2013 and 2019 (pre-HIPC).[15] While Somalia currently has limited monetary and fiscal policy response options to address multiple shocks, policies and institutions are gradually being built, which can be further supported

[15] The medium- to long-term growth forecast at HIPC DP was informed by an analysis of the key macroeconomic outturns for 36 HIPC beneficiaries between 2000 and 2010. For the fragile countries in this sample, median real growth accelerated by 0.3 percentage points per year over the five years after DP. For Somalia, it was assumed at HIPC DP that growth would accelerate starting at 0.2 ppts per year, and then increase to 0.4 ppts. The current projection assumes growth (post-HIPC DP) to accelerate by around 0.2 ppts per year and then moderate to 0.1 ppts.

by access to new sources of financing upon reaching the HIPC CP. Inflation in the long term is expected to average 2.2 percent as Somalia remains a de facto dollarized economy.[16]

12. It is expected that Somalia will continue running a structural trade deficit over the medium- and long-term. Somalia's exports are currently dominated by the export of livestock (representing about 80 percent of total exports of goods). Over time, the volume of exports is expected to improve because of an ongoing diversification of export markets beyond Saudi Arabia and outside of the Hajj period. New insurance products are being prepared to help mitigate risks to livestock. The authorities' commitment to the diversification of exports is also a response to the vulnerability of livestock to climate-related shocks. Expected pipeline investments in electricity and transport should support the emergence of new productive sectors such as fisheries. A gradual decrease in the current account deficit, as imports prices fall and exports grow, will be financed by increased access to international finance and higher FDI inflows. The latter is expected to result from a confidence boost as Somalia reaches HIPC Completion Point, coupled by a gradually improving business environment.

13. Over the medium and long term, higher domestic revenues would make room for greater public investment and social spending. Domestic revenue is projected to increase by around 0.3 percent of GDP per year over 2023-2027, on the back of broad-based revenue-enhancing reforms.[17] Over the medium-term, trade related revenues (customs duties, sales tax on imports and port fees) are expected to increase due to efficiency gains from the introduction of ad-valorem tariffs and improved data, processes, and systems at customs, which is being supported with technical assistance. The approval of the new Income Tax Law (which clarifies and streamlines deductions) and the introduction of excise taxes on money transfer business, airtime, and telecommunications are projected to lead to an increase in income and sales taxes.[18] The revenue administration is also expected to continue adding new taxpayers to the tax net (for instance large firms in banking and hospitality), expand its use of digital tools, and enhance its enforcement capacity. Over time, higher domestic revenues would make room for greater spending on investment and social services. In the absence of HIPC Completion Point (baseline scenario), Somalia would have limited access to external borrowing, and therefore in the near term would continue to rely on grant financing to run a balanced budget. Once Somalia achieves HIPC Completion Point and gains new access to concessional borrowing (alternative scenario), grants are expected to gradually decline and be replaced by concessional loans. In this case, the budget would move from an overall balance to moderate deficits of about 1.5 percent of GDP. Sustained improvements over time in expenditure execution and public investment management will facilitate greater absorption of additional resources to expand public spending on human development and public infrastructure.

[16] Because of dollarization, Somalia's inflation would follow similar trends to the U.S. The U.S. Federal Reserve has an aim of inflation of 2 percent over the longer run. Inflation in Somalia averaged 2.5 percent from 2013-2019 (pre-COVID).

[17] Compared to the LT forecast at HIPC decision point, domestic revenues are still expected to reach 9 percent of GDP by 2040 but following a more gradual path. These forecasts are supported by the authorities' strong track record in building tax capacity, which has increased from about 1 percent of GDP in 2013, to 3.2 percent of GDP in 2022. The projected medium-term and long-term path for revenues is comparable to the experience of other HIPC fragile countries.

[18] Effective tax rates on telecom sector in Somalia are far less than those in other countries in the region. In introducing excise taxes on money transfer business, their design will need to mitigate risks of arbitrage and adverse impact on poor households.

14. Notwithstanding the recent challenges, the authorities continued to make sustained progress in their policy reform agenda. Important progress has been made towards achieving the HIPC Completion Point triggers, including on public financial and expenditure management, domestic revenue mobilization, governance, social sectors, and statistics. Of note is the recent approval Parliament of seven key pieces of legislation linked to the HIPC CP in March 2023. Furthermore, the authorities have made commendable progress in implementing the performance and policy actions under the IDA Sustainable Development Finance Policy, including maintaining a commitment to not borrow on non-concessional terms and improving debt transparency and reporting. In addition, the authorities are implementing a complementary set of reforms supported by the World Bank's Development Policy Financing operation which is currently under preparation and will further support progress in achieving HIPC Completion Point triggers.

15. Although the nature of risks to the outlook has not changed since the Decision Point, near-term risks are tilted to the downside. Prolonged drought conditions would hurt growth and increase food insecurity. Additional pressures on international food and energy prices due to the war in Ukraine, along with possible supply constraints, heighten food security risks and compound economic hardship on the population. Other risks include resurgence of the desert locust infestation and security risks. Over the medium to long term, the risks are balanced. On the upside, the growth dividend of reaching the HIPC Completion Point on foreign investment inflows could be larger than currently anticipated. The development of new sectors (like the petroleum sector) and enhancement of others (like commercial fishing) could also increase growth. Greater political stability can support advances in the fiscal federalism agenda. On the downside, if Somalia remains in debt distress for a lengthy period of time, it would have detrimental consequences on growth and the country's fiscal sustainability. In addition, the expected transition from the African Union Transition Mission in Somalia (ATMIS) to the Somalia National Army (SNA), potential frictions between the FGS and the FMS during the development of the fiscal framework, and an intensification of climate shocks represent important medium-term risks.

Text Table 2. Somalia: Macroeconomic Projections

(Percent of GDP, unless otherwise indicated)

	DSA June 2022 1/						Current DSA Baseline Scenario 2/					
	2022	2023	2024	2025	2026	2027-42	2022	2023	2024	2025	2026	2027-42
GDP growth (percent)	2.7	3.6	3.7	3.9	4.0	4.5	1.7	2.8	3.7	3.9	4.0	4.5
Per capita GDP growth	-0.1	0.8	0.9	1.1	1.2	1.6	-1.1	0.0	0.9	1.1	1.2	1.6
GDP deflator (percent)	8.3	4.0	5.0	5.0	4.9	2.3	6.8	4.2	3.8	3.6	3.3	2.2
						(in percent of GDP)						
Non-interest current account defi	14.5	12.5	11.3	12.3	12.2	12.1	16.8	16.4	14.4	14.7	14.5	14.6
Exports	16.9	16.9	17.2	17.2	17.2	17.2	17.0	18.2	18.9	19.5	19.8	20.2
Primary fiscal deficit	0.5	-0.3	0.7	0.7	0.7	1.0	0.0	0.3	0.0	-0.1	-0.1	1.4
Revenues and grants	6.4	6.7	5.9	6.3	6.6	8.8	8.8	7.8	7.2	6.7	6.8	7.2
of which: grants	3.4	3.3	2.3	2.1	2.0	1.5	5.6	4.6	3.7	2.9	2.7	0.4

Sources: Somali authorities and IMF staf estimates

1/ Somalia 2nd and 3rd Review

2/ The current DSA baseline scenario includes interim debt relief but excludes HIPC Completion Point relief. The macroeconomic tables in the IMF staff report include interim debt assistance and HIPC Completion Point relief (as in the DSA alternative scenario).

16. The available realism tools are not applicable. Given that Somalia's debt stock is largely determined by its progress under the HIPC Initiative, the realism tool comparing debt stocks and flows across DSA vintages is not yet applicable. Furthermore, the tool assessing the realism of the public

investment-growth nexus is inoperable due to gaps in Somalia's investment data. The fiscal adjustment realism tool suggests that there will be no fiscal adjustment over the next three years as, without HIPC CP, Somalia will continue to rely on grants to maintain a balanced budget. While the realism tool signals optimism on the growth path, it does not consider that growth in 2023 is expected to rebound as agriculture recovers following the prolonged drought and growth in remittances improves (Figure 3).

17. The baseline scenario continues to assume interim HIPC debt relief, consistent with the guidance under the Bank-Fund Low-Income Country Debt Sustainability Framework.[19] The baseline scenario assumes no new borrowing over the interim period. This baseline scenario incorporates information of debt relief agreements already signed as described in paragraph 6. Consistent with the LIC-DSF guidance note and the HIPC Debt Relief Analysis, the baseline does not include relief under the HIPC Initiative at the Completion Point nor MDRI.[20] The baseline scenario assumes continued financing in the form of grants from 2023-2027, including from IDA. Starting in 2028, grant disbursements would start to decline according to the disbursement cycle of previously approved projects, offset by gradually rising concessional financing, including through IDA regular credits.

18. An alternative scenario is presented that incorporates the full impact of multilateral arrears clearance, interim debt relief, HIPC, MDRI and beyond HIPC debt relief. This scenario assumes full delivery of additional debt relief at the HIPC Completion Point at end-2023, as the country has continued to make progress on the HIPC Completion Point triggers and debt relief agreements (similar assumption to the June 2022 DSA). Reaching that milestone would bring external debt to 6.3 percent of GDP in 2023 in the alternative scenario, compared to 38 percent of GDP in the baseline scenario (and compared to 82 percent of GDP in 2019).[21] The alternative scenario assumes that new financing in 2024-2027 would shift from grants to highly concessional loans, similar to those under IDA20.[22] The alternative scenario also assumes that from 2028 new borrowing would be on concessional terms similar to IDA regular credits. Somalia would continue to receive grant disbursements for any project commitments approved before the Completion Point, but these amounts would decline considerably over time. The alternative scenario assumes that the revenue path is the same as the baseline scenario (as per paragraph 14). Therefore, as grant disbursements decline, Somalia would increase its borrowing to sustain expenditure, resulting in overall deficits of 1.5 to 2.0 percent of GDP over the medium and long term. Robust access to budget support financing from development partners will continue to be needed to support essential recurrent spending, especially in the near-term.

[19] See Guidance Note on the Bank-Fund Debt Sustainability Framework for Low Income Countries, February 2018 (Appendix V. HIPC Initiative and MDRI).

[20] For the IMF, the MDRI Fund is closed, but financing is being sought for beyond-HIPC assistance.

[21] See Appendix V in "Guidance Note on the Bank-Fund Debt Sustainability Framework for Low Income Countries," (February 2018).

[22] Once Somalia obtains debt relief at the HIPC Completion Point, the country would be assessed as having a moderate risk of debt distress and therefore, based on IDA financing terms, would no longer have access to new grant commitments but only to highly concessional loans--in particular, to 50-year maturity loans and shorter-term maturity loans.

COUNTRY CLASSIFICATION AND DETERMINATION OF SCENARIO STRESS TESTS

19. Somalia's debt-carrying capacity is classified as weak. This classification is guided by the composite indicator score, as determined by the World Bank's CPIA, the country's real GDP growth, import coverage of foreign exchange reserves, remittances as percent of GDP, and growth of the world economy. The DSA for Somalia uses the October 2022 vintage of the WEO and the 2021 CPIA. The latest available composite indicator score for Somalia is 1.57 (Text Table 4).[23]

Text Table 3. Somalia: Composite Indicator and Threshold Tables

Debt Carrying Capacity and Thresholds

Country	Somalia
Country Code	726

Debt Carrying Capacity	Weak

Final	Classification based on current vintage	Classification based on the previous vintage	Classification based on the two previous vintage
Weak	Weak 1.57	Weak 1.57	Weak 1.57

APPLICABLE	
EXTERNAL debt burden thresholds	
PV of debt in % of	
Exports	140
GDP	30
Debt service in % of	
Exports	10
Revenue	14

APPLICABLE	
TOTAL public debt benchmark	
PV of total public debt in percent of GDP	35

Note: Calculated based on the most recent WEO vintage (October 2022) and the latest CPIA vintage (2021).

EXTERNAL DEBT SUSTAINABILITY

20. Somalia remains in debt distress in the baseline scenario, which assumes interim HIPC relief. The revised DSA assumptions result in lower levels for the ratios of PV of external debt to GDP in the near term compared to the June 2022 DSA due to the larger nominal GDP. Over the long term, the path of PV of external debt to GDP, debt service to exports, and debt service to revenue is slightly higher than in the June 2022 DSA because of slightly larger primary deficits (1.5 percent of GDP compared to 1- 1.3 percent of GDP in the June 2022 DSA). The PV of external debt-to-GDP, the PV of the external debt-to-exports, and external debt service to revenue continue to see significant breaches of the corresponding indicative

[23] The composite index reflects an increase in the WB CPIA in 2021 to 2.1 from 2.0 in 2020.

thresholds over the forecast period, highlighting the importance of Somalia securing debt relief through reaching the HIPC Completion Point milestone. Somalia is in arrears with external creditors, and debt restructuring negotiations are ongoing. That said, in a forward-looking sense, Somalia's debt is still considered sustainable, given the expectation that all outstanding arrears will be treated under debt restructuring agreements since Somalia has reached the HIPC Decision Point.

21. While the revisions to the macroeconomic outlook and the PV of debt imply exacerbated debt vulnerabilities and further worsening of the debt situation, the HIPC Initiative does include provisions to ensure countries exit in a sustainable situation. The HIPC Initiative does provide for instances where countries experience a fundamental change in their economic circumstances due to exogenous factors during the interim period. While it is premature to provide an assessment at this stage, if specific conditions are met, Somalia could seek additional debt relief from all creditors, beyond the amount committed at the Decision Point, to reduce debt burden indicators to the HIPC thresholds, ensuring a sustainable debt burden at the conclusion of the process.

22. The standardized stress tests continue to demonstrate that Somalia's external debt position is subject to considerable vulnerabilities and highlight the importance of debt relief. While the application of the standard DSA stress test to Somalia is complicated by the short historical data series as well as severe structural breaks, most debt indicators deteriorate substantially under temporary shock scenarios.[24] While the standardized stress test suggests the most serious shocks stem from a one-time depreciation, this shock is unlikely to occur in Somalia's de-facto dollarized context. As such, the non-debt flow shock (a shock in current official transfers) is a greater vulnerability, as a consistently high-ranking shock scenario across all indicators, which highlights Somalia's high dependence on official development assistance. Furthermore, the external debt service-to-revenue ratio experiences large breaches under all shock scenarios, accentuating liquidity risks during the HIPC interim period.

23. Somalia's debt situation is markedly better under the alternative scenario that assumes debt relief through the HIPC Initiative, MDRI, and beyond HIPC, underscoring that traditional debt relief alone is insufficient. Assuming full delivery of this additional debt relief at the Completion Point (as under the June 2022 DSA), all debt burden indicators would be significantly below their respective thresholds from 2023, consistent with achieving a moderate risk rating at the Completion Point. There are, however, risks around the time it will take the authorities to complete all HIPC Completion Point triggers, and a delay could slow the expected progress in the debt restructuring assumptions underpinning the alternative scenario. Even under this alternative scenario including full debt relief, Somalia will remain fragile, with downside risks coming from international commodity prices shocks and climate shocks that could negatively affect the revenue path. Expenditure pressures in education, health and security will need to be financed on highly concessional terms to prevent a spike in debt service over the medium term.

[24] The standardized tests embedded in the LIC-DSF generate a financing gap that is assumed to be filled by the accumulation of new debt. However, Somalia would have limited (or no) access to any formal debt financing under the DSA baseline (which assume no HIPC Completion). While the DSA assumes additional financing, in practice, any additional financing needs would be expected to be accommodated through lower fiscal expenditures, lower imports, or higher grants. In addition, Somalia's severe data weaknesses could also bias the simulation results.

PUBLIC DEBT SUSTAINABILITY

24. With domestic debt being negligible, indicators of public debt are similar to the indicators for external debt. The PV of total public debt-to-GDP is well above the benchmark, with serious breaches under the various stress scenarios. The conclusions with regards to external debt sustainability are relevant also for public debt sustainability, given that there is no market for domestic debt and the existing stock of domestic debt is limited to a small stock of government arrears. As in the external debt sustainability analysis, under the alternative scenario debt burden indicators improve significantly and drop below their respective thresholds.

RISK RATING AND VULNERABILITIES

25. Somalia's external public debt and overall public debt remain in distress under the baseline scenario. The baseline shows a downward revision in the present value of debt compared to the June 2022 DSA, reflecting a higher nominal GDP in the near-term. The PV of external debt-to-GDP, the PV of the external debt-to-exports, and external debt service to revenue see significant breaches of the corresponding indicative thresholds over the medium term. This stresses once more the need for debt relief.

26. However, in a forward-looking sense, overall debt is assessed as sustainable contingent on the full delivery of eligible debt relief at the HIPC Completion Point. Debt relief under the HIPC Initiative, MDRI, and beyond-HIPC assistance improve Somalia's external debt situation and bring debt to a manageable level such that it can be judged sustainable in a forward-looking sense. The inclusion of domestic debt does not materially impact the analysis. The authorities' ongoing commitment to reform and strong track-record of reform implementation since 2016, the backing of the HIPC process by regional leaders, and the continued support from development partners provide support to the timely achievement of the HIPC completion point. Even after achieving HIPC Completion Point, Somalia is expected to remain highly vulnerable to shocks, underscoring the importance of continuing to strengthen domestic revenue mobilization, debt management institutions, and institutional capacity.

AUTHORITIES' VIEWS

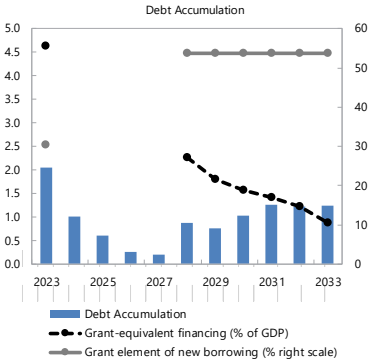
27. The authorities underscored the important progress that has been made towards the HIPC Completion Point. Debt relief agreements have been reached with most Paris Club members and the KFAED, and negotiations are advancing with remaining creditors. Reforms to complete the HIPC Completion Point triggers are moving forward steadily, including on domestic revenue mobilization, PFM, governance, social sectors, and statistics, as well as the recent enactment of key legislation. The authorities reiterated their steadfast commitment to timely implementation of reforms in order to achieve the Completion Point within the planned timelines.

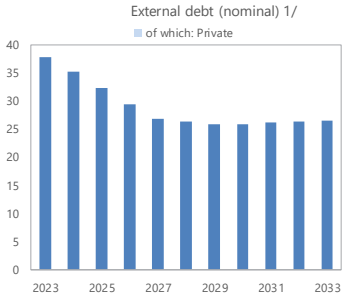
Table 1. Somalia: External Debt Sustainability Framework, Baseline Scenario, 2020–2043

(In percent of GDP, unless otherwise indicated)

	Actual			Projections								Average 8/	
	2020	2021	2022	2023	2024	2025	2026	2027	2028	2033	2043	Historical	Projections
External debt (nominal) 1/	**57.2**	**45.2**	**40.0**	**37.7**	**35.2**	**32.3**	**29.4**	**26.9**	**26.3**	**26.4**	**29.6**	**22.3**	**29.0**
of which: public and publicly guaranteed (PPG)	**57.2**	**45.2**	**40.0**	**37.7**	**35.2**	**32.3**	**29.4**	**26.9**	**26.3**	**26.4**	**29.6**	**22.3**	**29.0**
Change in external debt	-23.9	-11.9	-5.2	-2.3	-2.5	-2.9	-2.9	-2.5	-0.6	0.2	0.3		
Identified net debt-creating flows	**-2.0**	**3.2**	**6.1**	**7.6**	**5.3**	**5.6**	**5.3**	**5.3**	**4.9**	**5.2**	**5.1**	**2.5**	**5.4**
Non-interest current account deficit	**10.5**	**16.7**	**16.8**	**16.2**	**14.1**	**14.4**	**14.2**	**14.1**	**13.7**	**14.5**	**14.4**	**10.0**	**14.3**
Deficit in balance of goods and services	64.1	71.7	79.1	75.0	72.2	71.7	71.1	70.7	70.2	71.0	71.0	**65.6**	**71.2**
Exports	14.1	17.2	17.0	18.2	18.9	19.5	19.8	20.0	20.2	20.2	20.2		
Imports	78.2	88.9	96.2	93.2	91.1	91.1	90.8	90.7	90.4	91.2	91.2		
Net current transfers (negative = inflow)	-54.1	-55.5	-62.8	-59.1	-58.2	-57.4	-57.0	-56.6	-56.6	-56.6	-56.6	**-56.2**	**-57.1**
of which: official	-30.3	-27.8	-36.6	-31.5	-29.8	-28.6	-28.2	-27.8	-27.8	-27.8	-27.8		
Other current account flows (negative = net inflow)	0.5	0.5	0.5	0.3	0.0	0.1	0.1	0.1	0.1	0.1	0.1	**0.6**	**0.1**
Net FDI (negative = inflow)	**-7.8**	**-8.0**	**-7.8**	**-7.7**	**-7.8**	**-7.8**	**-8.0**	**-8.0**	**-8.0**	**-8.4**	**-8.4**	**-6.5**	**-8.0**
Endogenous debt dynamics 2/	**-4.7**	**-5.6**	**-2.9**	**-0.8**	**-0.9**	**-0.9**	**-0.9**	**-0.8**	**-0.7**	**-0.8**	**-1.0**		
Contribution from nominal interest rate	0.0	0.0	0.0	0.2	0.4	0.3	0.3	0.3	0.3	0.3	0.3		
Contribution from real GDP growth	0.2	-1.5	-0.7	-1.0	-1.3	-1.3	-1.2	-1.1	-1.1	-1.1	-1.2		
Contribution from price and exchange rate changes	-4.9	-4.1	-2.2	...	...	...	...	...	...	...	...		
Residual 3/	**-21.9**	**-15.2**	**-11.3**	**-9.9**	**-7.8**	**-8.6**	**-8.2**	**-7.9**	**-5.5**	**-5.1**	**-4.8**	**-16.1**	**-6.7**
of which: exceptional financing	-62.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Sustainability indicators													
PV of PPG external debt-to-GDP ratio	**...**	**...**	**38.0**	**37.3**	**35.6**	**33.2**	**30.9**	**28.7**	**27.4**	**24.5**	**23.3**		
PV of PPG external debt-to-exports ratio	**...**	**...**	**222.7**	**205.1**	**188.0**	**170.8**	**156.3**	**143.6**	**135.9**	**121.1**	**115.4**		
PPG debt service-to-exports ratio	**1.4**	**1.3**	**1.2**	**2.4**	**4.2**	**5.5**	**6.4**	**8.8**	**9.4**	**2.1**	**3.8**		
PPG debt service-to-revenue ratio	**6.6**	**7.4**	**6.2**	**13.3**	**22.7**	**27.7**	**30.8**	**40.2**	**49.3**	**6.6**	**7.9**		
Gross external financing need (Million of U.S. dollars)	201.2	687.4	752.0	776.7	666.3	782.6	832.2	952.7	981.7	1170.4	2337.9		
Key macroeconomic assumptions													
Real GDP growth (in percent)	-0.3	2.9	1.7	2.8	3.7	3.9	4.0	4.1	4.3	4.5	4.5	**3.1**	**4.1**
GDP deflator in US dollar terms (change in percent)	6.4	7.7	5.2	4.2	4.1	4.7	4.3	4.0	3.4	2.1	2.1	**4.2**	**3.2**
Effective interest rate (percent) 4/	0.0	0.0	0.0	0.6	1.0	1.0	1.0	1.2	1.4	1.1	1.0	**0.0**	**1.1**
Growth of exports of G&S (US dollar terms, in percent)	-13.4	35.0	6.1	14.5	12.1	11.9	10.2	9.6	8.9	6.7	6.7	**5.1**	**9.1**
Growth of imports of G&S (US dollar terms, in percent)	2.7	26.1	15.6	3.9	5.5	8.8	8.1	8.1	7.5	6.8	6.7	**8.2**	**6.9**
Grant element of new public sector borrowing (in percent)	...	...	...	30.4 ...	...	...	...		53.7	53.7	...	**...**	**50.4**
Government revenues (excluding grants, in percent of GDP)	3.1	3.0	3.2	3.2	3.5	3.8	4.1	4.4	3.8	6.6	9.6	**2.6**	**4.6**
Aid flows (in Million of US dollars) 5/	288.1	64.4	462.7	398.3	353.5	296.1	304.1	310.5	392.0	293.8	791.8		
Grant-equivalent financing (in percent of GDP) 6/	...	...	...	4.6	...	...	...	...	2.3	0.9	1.0	**...**	**2.0**
Grant-equivalent financing (in percent of external financing) 6/	...	...	...	96.9	...	...	...	...	75.2	53.7	44.8	**...**	**70.2**
Nominal GDP (Million of US dollars)	6,883	7,628	8,158	8,738	9,429	10,260	11,128	12,052	12,995	17,967	34,348		
Nominal dollar GDP growth	6.1	10.8	6.9	7.1	7.9	8.8	8.5	8.3	7.8	6.7	6.7	**7.3**	**7.4**
Memorandum items:													
PV of external debt 7/	...	...	38.0	37.3	35.6	33.2	30.9	28.7	27.4	24.5	23.3		
In percent of exports	...	...	222.7	205.1	188.0	170.8	156.3	143.6	135.9	121.1	115.4		
Total external debt service-to-exports ratio	1.4	1.3	1.2	2.4	4.2	5.5	6.4	8.8	9.4	2.1	3.8		
PV of PPG external debt (in Million of US dollars)			3097.0	3263.7	3352.6	3410.2	3437.0	3459.6	3565.7	4394.2	8004.0		
(PVt-PVt-1)/GDPt-1 (in percent)				2.0	1.0	0.6	0.3	0.2	0.9	1.2	1.6		
Non-interest current account deficit that stabilizes debt ratio	34.4	28.7	22.0	18.5	16.6	17.3	17.1	16.7	14.3	14.3	14.1		

Definition of external/domestic debt	Residency-based
Is there a material difference between the two criteria?	Yes





Sources: Country authorities; and staff estimates and projections.

1/ Includes both public and private sector external debt.

2/ Derived as [r - g - ρ(1+g) + Ɛα (1+r)]/(1+g+ρ+gρ) times previous period debt ratio, with r = nominal interest rate; g = real GDP growth rate, ρ = growth rate of GDP deflator in U.S. dollar terms, Ɛ=nominal appreciation of the local currency, and α= share of local currency-denominated external debt in total external debt.

3/ Includes exceptional financing (i.e., changes in arrears and debt relief); changes in gross foreign assets; and valuation adjustments. For projections also includes contribution from price and exchange rate changes.

4/ Current-year interest payments divided by previous period debt stock.

5/ Defined as grants, concessional loans, and debt relief.

6/ Grant-equivalent financing includes grants provided directly to the government and through new borrowing (difference between the face value and the PV of new debt).

7/ Assumes that PV of private sector debt is equivalent to its face value.

8/ Historical averages are generally derived over the past 10 years, subject to data availability, whereas projections averages are over the first year of projection and the next 10 years.

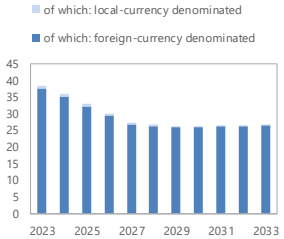
Table 2. Somalia: Public Sector Debt Sustainability Framework, Baseline Scenario, 2020–2043

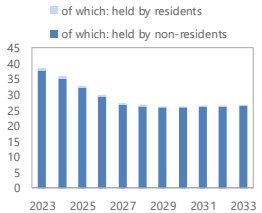
(In percent of GDP, unless otherwise indicated)

	Actual			Projections								Average 6/	
	2020	2021	2022	2023	2024	2025	2026	2027	2028	2033	2043	Historical	Projections
Public sector debt 1/	**58.1**	**46.1**	**40.8**	**38.5**	**36.0**	**32.9**	**30.0**	**27.4**	**26.7**	**26.7**	**29.7**	**23.2**	**29.4**
of which: external debt	**57.2**	**45.2**	**40.0**	**37.7**	**35.2**	**32.3**	**29.4**	**26.9**	**26.3**	**26.4**	**29.6**	**22.3**	**29.0**
Change in public sector debt	-24.0	-12.0	-5.3	-2.3	-2.5	-3.0	-2.9	-2.6	-0.7	0.1	0.3		
Identified debt-creating flows	**-67.1**	**-4.6**	**-3.0**	**-2.2**	**-2.5**	**-2.6**	**-2.3**	**-2.0**	**-0.1**	**0.1**	**0.0**	**-24.9**	**-1.0**
Primary deficit	**-0.4**	**1.1**	**0.0**	**0.3**	**0.0**	**-0.1**	**-0.1**	**0.0**	**1.5**	**1.5**	**1.5**	**-0.1**	**0.8**
Revenue and grants	7.2	4.9	8.8	7.8	7.2	6.7	6.8	7.0	5.2	6.6	9.6	**4.7**	**6.4**
of which: grants	4.2	1.9	5.6	4.6	3.7	2.9	2.7	2.6	1.4	0.0	0.0		
Primary (noninterest) expenditure	6.8	6.0	8.8	8.1	7.2	6.7	6.8	6.9	6.8	8.1	11.1	**4.6**	**7.3**
Automatic debt dynamics	**-4.7**	**-5.7**	**-3.0**	**-2.5**	**-2.5**	**-2.5**	**-2.2**	**-1.9**	**-1.6**	**-1.4**	**-1.6**		
Contribution from interest rate/growth differential	-4.7	-5.7	-3.0	-2.5	-2.5	-2.5	-2.2	-1.9	-1.6	-1.4	-1.6		
of which: contribution from average real interest rate	-5.0	-4.0	-2.2	-1.4	-1.1	-1.2	-1.0	-0.8	-0.5	-0.3	-0.3		
of which: contribution from real GDP growth	0.2	-1.7	-0.8	-1.1	-1.4	-1.3	-1.3	-1.2	-1.1	-1.1	-1.3		
Contribution from real exchange rate depreciation	0.0	0.0	0.0	...	...	...	...	...	...	...	...		
Other identified debt-creating flows	**-62.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**-6.2**	**0.0**
Privatization receipts (negative)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Recognition of contingent liabilities (e.g., bank recapitalization)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Debt relief (HIPC and other)	-62.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Other debt creating or reducing flow (please specify)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Residual	**43.1**	**-7.5**	**-2.2**	**-0.1**	**-0.1**	**-0.4**	**-0.7**	**-0.6**	**-0.6**	**0.0**	**0.3**	**11.1**	**-0.3**
Sustainability indicators													
PV of public debt-to-GDP ratio 2/	**...**	**...**	**38.8**	**38.1**	**36.3**	**33.9**	**31.4**	**29.2**	**27.9**	**24.7**	**23.3**		
PV of public debt-to-revenue and grants ratio	**...**	**...**	**438.4**	**488.7**	**502.2**	**503.4**	**459.1**	**418.8**	**531.2**	**374.1**	**243.0**		
Debt service-to-revenue and grants ratio 3/	**2.8**	**4.5**	**2.3**	**5.5**	**10.9**	**16.2**	**18.9**	**25.7**	**36.7**	**6.8**	**8.0**		
Gross financing need 4/	-62.1	1.3	0.2	0.0	0.0	0.0	0.0	0.0	1.6	1.6	2.3		
Key macroeconomic and fiscal assumptions													
Real GDP growth (in percent)	-0.3	2.9	1.7	2.8	3.7	3.9	4.0	4.1	4.3	4.5	4.5	**3.1**	**4.1**
Average nominal interest rate on external debt (in percent)	0.0	0.0	0.0	0.6	1.0	1.0	1.0	1.2	1.4	1.1	1.0	**0.0**	**1.1**
Average real interest rate on domestic debt (in percent)	-6.1	-7.1	-4.9	-4.0	-2.9	3.1	3.6	3.8	3.5	-1.0	-1.1	**-3.5**	**0.3**
Real exchange rate depreciation (in percent, + indicates depreciation)	0.0	0.0	0.0	...	...	...	...	...	...	...	...	**0.0**	**...**
Inflation rate (GDP deflator, in percent)	6.4	7.7	5.2	4.2	4.1	4.7	4.3	4.0	3.4	2.1	2.1	**4.2**	**3.2**
Growth of real primary spending (deflated by GDP deflator, in percent)	40.8	-9.5	48.8	-5.4	-8.0	-3.6	6.0	6.0	2.3	8.4	7.8	**20.9**	**3.5**
Primary deficit that stabilizes the debt-to-GDP ratio 5/	23.6	13.1	5.2	2.6	2.5	3.0	2.9	2.6	2.2	1.4	1.2	**14.0**	**2.1**
PV of contingent liabilities (not included in public sector debt)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		

Definition of external/domestic debt	**Residency-based**
Is there a material difference between the two criteria?	**Yes**

Public sector debt 1/





Sources: Country authorities; and staff estimates and projections.

1/ Coverage of debt: The central government, central bank, government-guaranteed debt, non-guaranteed SOE debt . Definition of external debt is Residency-based.

2/ The underlying PV of external debt-to-GDP ratio under the public DSA differs from the external DSA with the size of differences depending on exchange rates projections.

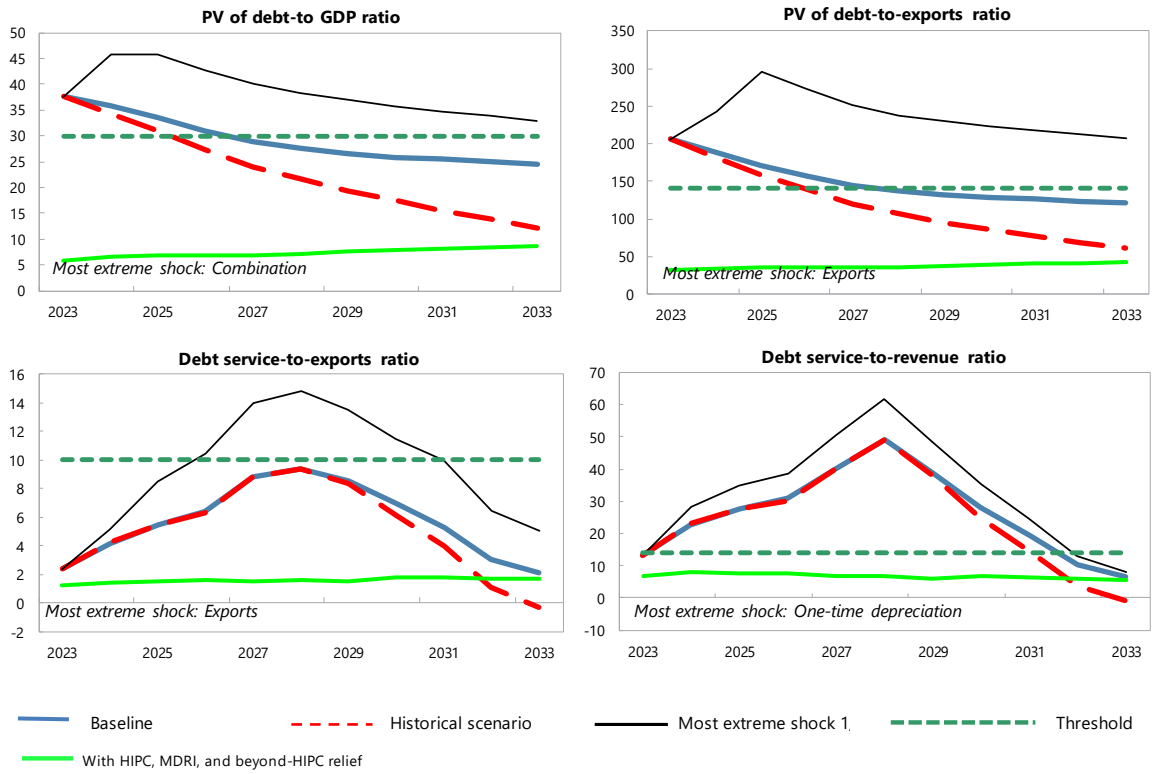
3/ Debt service is defined as the sum of interest and amortization of medium and long-term, and short-term debt.

4/ Gross financing need is defined as the primary deficit plus debt service plus the stock of short-term debt at the end of the last period and other debt creating/reducing flows.

5/ Defined as a primary deficit minus a change in the public debt-to-GDP ratio ((-): a primary surplus), which would stabilizes the debt ratio only in the year in question.

6/ Historical averages are generally derived over the past 10 years, subject to data availability, whereas projections averages are over the first year of projection and the next 10 years.

Figure 1. Somalia: Indicators of Public and Publicly Guaranteed External Debt Under Alternatives Scenarios, 2023–2033



Customization of Default Settings	Size	Interactions
Tailored Stress		
Combined CL	Yes	
Natural disaster	n.a.	n.a.
Commodity price 2/	No	No
Market financing	n.a.	n.a.

Note: "Yes" indicates any change to the size or interactions of the default settings for the stress tests. "n.a." indicates that the stress test does not apply.

Borrowing assumptions on additional financing needs resulting from the stress tests*	Default	User defined
Shares of marginal debt		
External PPG MLT debt	100%	
Terms of marginal debt		
Avg. nominal interest rate on new borrowing in USD	0.6%	1.4%
USD Discount rate	5.0%	5.0%
Avg. maturity (incl. grace period)	34	38
Avg. grace period	5	5

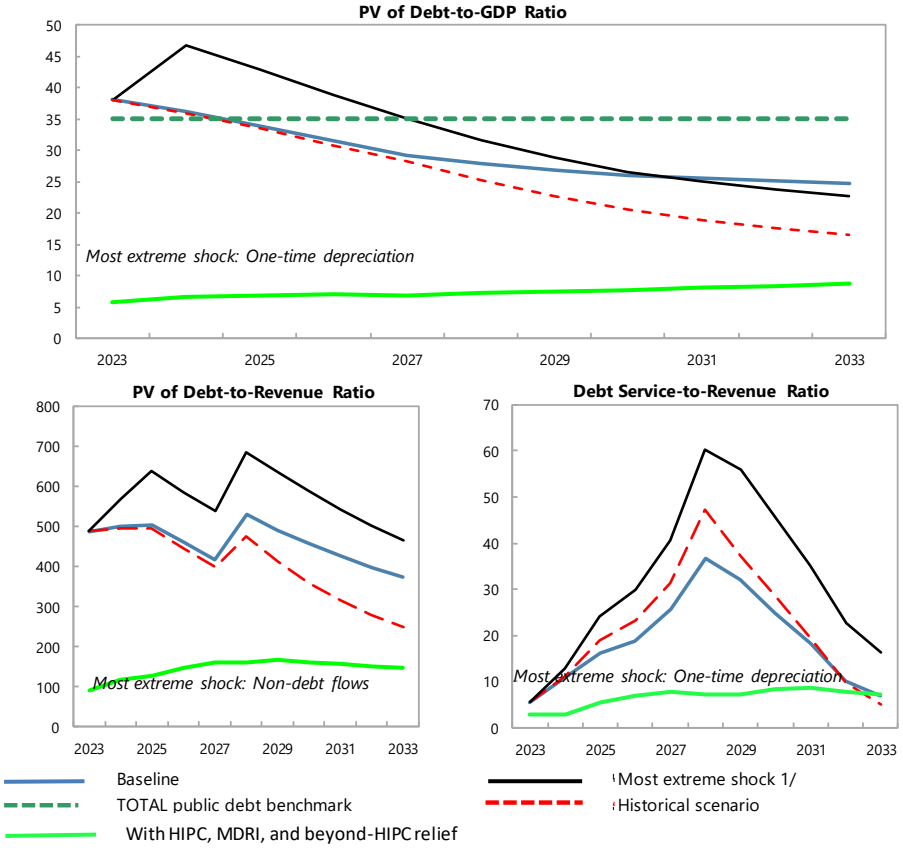
* Note: All the additional financing needs generated by the shocks under the stress tests are assumed to be covered by PPG external MLT debt in the external DSA. Default terms of marginal debt are based on baseline 10-year projections.

Sources: Country authorities; and staff estimates and projections.

1/ The most extreme stress test is the test that yields the highest ratio in or before 2033. The stress test with a one-off breach is also presented (if any), while the one-off breach is deemed away for mechanical signals. When a stress test with a one-off breach happens to be the most exterme shock even after disregarding the one-off breach, only that stress test (with a one-off breach) would be presented.

2/ The magnitude of shocks used for the commodity price shock stress test are based on the commodity prices outlook prepared by the IMF research department.

Figure 2. Somalia: Indicators of Public Debt Under Alternative Scenarios, 2023-2033[§]



Borrowing assumptions on additional financing needs resulting from the stress tests*	Default	User defined
Shares of marginal debt		
External PPG medium and long-term	77%	77%
Domestic medium and long-term	0%	0%
Domestic short-term	23%	23%
Terms of marginal debt		
External MLT debt		
Avg. nominal interest rate on new borrowing in USD	0.6%	1.4%
Avg. maturity (incl. grace period)	34	38
Avg. grace period	5	5
Domestic MLT debt		
Avg. real interest rate on new borrowing	0.0%	0.0%
Avg. maturity (incl. grace period)	1	1
Avg. grace period	0	0
Domestic short-term debt		
Avg. real interest rate	-4.3%	-4.3%

* Note: The public DSA allows for domestic financing to cover the additional financing needs generated by the shocks under the stress tests in the public DSA. Default terms of marginal debt are based on baseline 10-year projections.

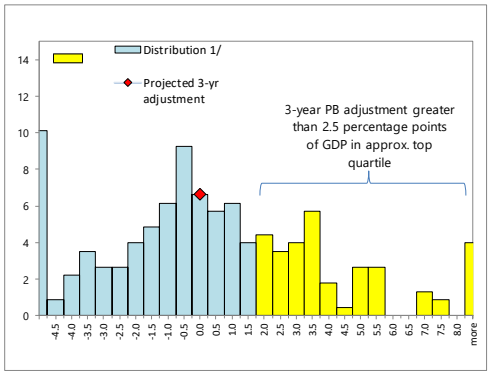
Sources: Country authorities; and staff estimates and projections.

1/ The most extreme stress test is the test that yields the highest ratio in or before 2033. The stress test with a one-off breach is also presented (if any), while the one-off breach is deemed away for mechanical signals. When a stress test with a one-off breach happens to be the most exterme shock even after disregarding the one-off breach, only that stress test (with a one-off breach) would be presented.

[§]/Alternative scenarios of macroeconomic shocks for the Baseline scenario

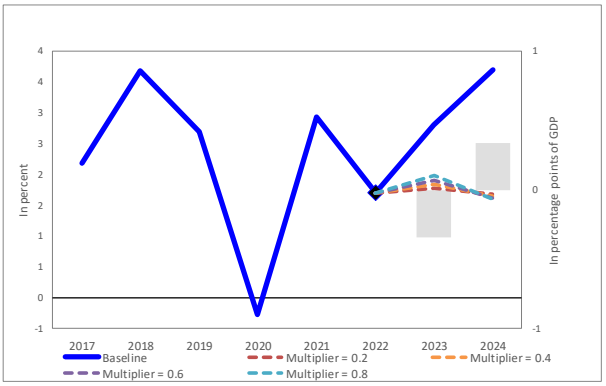
Figure 3. Somalia: Realism Tools

3-Year Adjustment in Primary Balance (Percentage points of GDP)



1/ Data cover Fund-supported programs for LICs (excluding emergency financing) approved since 1990. The size of 3-year adjustment from program inception is found on the horizontal axis; the percent of sample is found on the vertical axis.

Fiscal Adjustment and Possible Growth Paths 1/



1/ Bars refer to annual projected fiscal adjustment (right-hand side scale) and lines show possible real GDP growth paths under different fiscal multipliers (left-hand side scale).

Table 3. Somalia: Sensitivity Analysis for Key Indicators of Public and Publicly Guaranteed External Debt, 2023-2033

(In percent)

	Projections 1/										
	2023	2024	2025	2026	2027	2028	2029	2030	2031	2032	2033
PV of debt-to GDP ratio											
Baseline	**37**	**36**	**33**	**31**	29	27	26	26	25	25	24
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2023-2033 2/	**37**	**34**	**31**	27	24	21	19	17	15	14	12
B. Bound Tests											
B1. Real GDP growth	**37**	**37**	**36**	**34**	**31**	30	29	28	28	27	27
B2. Primary balance	**37**	**36**	**35**	**33**	**32**	**31**	**31**	**31**	**31**	**31**	**30**
B3. Exports	**37**	**38**	**39**	**37**	**34**	**33**	**32**	**31**	**30**	29	29
B4. Other flows 3/	**37**	**40**	**42**	**40**	**37**	**35**	**34**	**33**	**32**	**31**	**30**
B5. Depreciation	**37**	**45**	**42**	**39**	**36**	**34**	**33**	**32**	**32**	**31**	**31**
B6. Combination of B1-B5	**37**	**46**	**46**	**43**	**40**	**38**	**37**	**36**	**35**	**34**	**33**
C. Tailored Tests											
C1. Combined contingent liabilities	**37**	**38**	**37**	**35**	**34**	**33**	**33**	**33**	**33**	**32**	**32**
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	**37**	**36**	**33**	**31**	29	27	26	26	25	25	24
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	30	30	30	30	30	30	30	30	30	30	30
PV of debt-to-exports ratio											
Baseline	**205**	**188**	**171**	**156**	**144**	136	131	127	125	123	121
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2023-2033 2/	**205**	**181**	**158**	137	119	106	95	86	77	68	60
B. Bound Tests											
B1. Real GDP growth	**205**	**188**	**171**	**156**	**144**	136	131	127	125	123	121
B2. Primary balance	**205**	**192**	**179**	**167**	**158**	**155**	**154**	**153**	**153**	**152**	**150**
B3. Exports	**205**	**242**	**295**	**271**	**250**	**237**	**229**	**222**	**217**	**211**	**207**
B4. Other flows 3/	**205**	**214**	**218**	**200**	**185**	**176**	**170**	**164**	**160**	**155**	**151**
B5. Depreciation	**205**	**188**	**171**	**156**	**144**	136	131	127	125	123	121
B6. Combination of B1-B5	**205**	**255**	**211**	**252**	**233**	**220**	**213**	**206**	**200**	**195**	**190**
C. Tailored Tests											
C1. Combined contingent liabilities	**205**	**203**	**189**	**177**	**168**	**164**	**163**	**162**	**162**	**161**	**159**
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	**205**	**188**	**171**	**156**	**144**	136	131	127	125	123	121
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	140	140	140	140	140	140	140	140	140	140	140
Debt service-to-exports ratio											
Baseline	2	4	5	6	9	9	9	7	5	3	2
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2023-2033 2/	2	4	5	6	9	9	8	6	4	1	0
B. Bound Tests											
B1. Real GDP growth	2	4	5	6	9	9	9	7	5	3	2
B2. Primary balance	2	4	6	7	9	10	9	8	6	4	3
B3. Exports	2	5	8	**10**	**14**	**15**	**13**	**12**	10	6	5
B4. Other flows 3/	2	4	6	7	10	**10**	9	9	8	5	4
B5. Depreciation	2	4	5	6	9	9	9	7	5	3	2
B6. Combination of B1-B5	2	5	8	9	**13**	**13**	**12**	**11**	9	6	5
C. Tailored Tests											
C1. Combined contingent liabilities	2	4	6	7	9	10	9	8	6	4	3
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	2	4	5	6	9	9	9	7	5	3	2
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	10	10	10	10	10	10	10	10	10	10	10
Debt service-to-revenue ratio											
Baseline	13	**23**	**28**	**31**	**40**	**49**	**39**	**28**	**20**	10	7
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2023-2033 2/	13	**23**	**27**	**30**	**40**	**49**	**38**	**25**	**14**	4	-1
B. Bound Tests											
B1. Real GDP growth	13	**24**	**30**	**33**	**44**	**54**	**42**	**30**	**21**	11	7
B2. Primary balance	13	**23**	**28**	**32**	**41**	**51**	**41**	**31**	**23**	14	10
B3. Exports	13	**23**	**29**	**34**	**44**	**53**	**42**	**32**	**25**	**15**	11
B4. Other flows 3/	13	**23**	**31**	**36**	**45**	**54**	**43**	**35**	**28**	**18**	13
B5. Depreciation	13	**28**	**35**	**39**	**50**	**62**	**49**	**35**	**24**	13	8
B6. Combination of B1-B5	13	**24**	**35**	**39**	**49**	**59**	**47**	**39**	**30**	**19**	13
C. Tailored Tests											
C1. Combined contingent liabilities	13	**23**	**29**	**33**	**42**	**52**	**42**	**31**	**22**	13	9
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	13	**23**	**28**	**31**	**40**	**49**	**39**	**28**	**20**	10	7
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	14	14	14	14	14	14	14	14	14	14	14

Sources: Country authorities; and staff estimates and projections.
1/ A bold value indicates a breach of the threshold.
2/ Variables include real GDP growth, GDP deflator (in U.S. dollar terms), non-interest current account in percent of GDP, and non-debt creating flows.
3/ Includes official and private transfers and FDI.

Table 4. Somalia: Sensitivity Analysis for Key Indicators of Public Debt, 2023-2033

(In percent)

	Projections 1/										
	2023	2024	2025	2026	2027	2028	2029	2030	2031	2032	2033
PV of Debt-to-GDP Ratio											
Baseline	**38**	**36**	34	31	29	28	27	26	26	25	25
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2023-2033 2/	**38**	**36**	34	31	28	25	23	21	19	18	16
B. Bound Tests											
B1. Real GDP growth	**38**	**37**	**36**	33	30	28	27	26	25	25	25
B2. Primary balance	**38**	**36**	34	31	28	26	24	23	23	22	22
B3. Exports	**38**	**38**	**39**	**37**	34	33	31	30	30	29	28
B4. Other flows 3/	**38**	**41**	**43**	**40**	**38**	**36**	35	34	33	32	31
B5. Depreciation	**38**	**47**	**43**	**39**	**35**	32	29	27	25	24	23
B6. Combination of B1-B5	**38**	**35**	33	29	26	23	21	19	18	17	16
C. Tailored Tests											
C1. Combined contingent liabilities	**38**	**39**	**36**	33	30	28	26	25	24	24	24
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	**38**	**36**	34	31	29	27	26	25	25	24	24
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
TOTAL public debt benchmark	35	35	35	35	35	35	35	35	35	35	35
PV of Debt-to-Revenue Ratio											
Baseline	489	502	503	459	419	531	492	457	427	399	374
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2023-2033 2/	489	496	494	446	399	475	412	359	314	279	249
B. Bound Tests											
B1. Real GDP growth	489	505	515	466	419	525	482	447	419	396	380
B2. Primary balance	489	500	499	447	398	492	445	407	377	352	332
B3. Exports	489	528	582	533	489	621	576	535	495	460	428
B4. Other flows 3/	489	570	638	586	539	685	636	589	543	502	466
B5. Depreciation	489	674	660	588	517	616	536	471	419	379	345
B6. Combination of B1-B5	489	492	486	424	374	447	385	334	295	265	245
C. Tailored Tests											
C1. Combined contingent liabilities	489	541	531	477	426	528	479	439	406	380	359
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	489	498	499	453	409	512	470	436	409	387	370
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Debt Service-to-Revenue Ratio											
Baseline	6	11	16	19	26	37	32	25	18	10	7
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2023-2033 2/	6	11	19	23	31	47	37	28	20	10	5
B. Bound Tests											
B1. Real GDP growth	6	11	20	25	34	51	47	40	32	22	17
B2. Primary balance	6	11	20	25	31	47	43	36	28	19	14
B3. Exports	6	11	17	21	27	39	34	28	23	14	11
B4. Other flows 3/	6	11	18	22	29	40	35	31	26	17	13
B5. Depreciation	6	13	24	30	40	60	56	46	35	23	16
B6. Combination of B1-B5	6	11	16	19	29	44	40	32	24	14	9
C. Tailored Tests											
C1. Combined contingent liabilities	6	11	36	27	33	48	44	36	28	18	12
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	6	11	20	25	33	50	46	39	31	22	17
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.

Sources: Country authorities; and staff estimates and projections.
1/ A bold value indicates a breach of the benchmark.
2/ Variables include real GDP growth, GDP deflator and primary deficit in percent of GDP.
3/ Includes official and private transfers and FDI.

Table 5. Somalia: Public Debt Holder Profile, 2022–2024

(In millions of U.S. Dollars, unless otherwise indicated)

	Debt Stock (end of period)			Debt Service					
	2022			2022	2023	2024	2022	2023	2024
	(In US$)	*(Percent total debt)*	*(Percent GDP)*	*(In US$)*			*(Percent GDP)*		
Total [1/]	3332.2	100.0	40.8	16.4	20.5	28.9	0.2	0.3	0.4
External	3264.4	98.0	40.0	16.4	20.5	28.9	0.2	0.3	0.4
Multilateral creditors	992.1	29.8	12.2	16.4	19.4	10.6	0.2	0.2	0.1
IMF [2/]	342.6	10.3	4.2	0.1	3.7	3.4	0.0	0.0	0.0
World Bank [3/]	104.9	3.1	1.3	13.4	13.4	0.0	0.2	0.2	0.0
AfDB	21.1	0.6	0.3	2.5	1.2	0.0	0.0	0.0	0.0
Other Multilaterals	523.5	15.7	6.4	0.5	1.2	7.2	0.0	0.0	0.1
Arab Monetary Fund	300.5	9.0	3.7	0.0	0.3	3.6	0.0	0.0	0.0
Arab Fund for Economic and Social Development	143.4	4.3	1.8	0.0	0.2	2.3	0.0	0.0	0.0
International Fund for Agricultural Development	31.0	0.9	0.4	0.5	0.5	0.5	0.0	0.0	0.0
Islamic Development Bank	12.5	0.4	0.2	0.0	0.2	0.2	0.0	0.0	0.0
OPEC Fund for International Development	36.1	1.1	0.4	0.0	0.1	0.7	0.0	0.0	0.0
Bilateral Creditors	2272.3	68.2	27.9	0.0	1.0	18.3	0.0	0.0	0.2
Paris Club [4/]	1673.2	50.2	20.5	0.0	1.0	16.0	0.0	0.0	0.2
Denmark	2.9	0.1	0.0	0.0	0.0	0.1	0.0	0.0	0.0
France	145.3	4.4	1.8	0.0	0.7	6.2	0.0	0.0	0.1
Italy [5/]	111.7	3.4	1.4	0.0	0.0	0.0	0.0	0.0	0.0
Japan [6/]	110.8	3.3	1.4	0.0	0.0	0.0	0.0	0.0	0.0
Netherlands	2.1	0.1	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Norway	0.6	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Russia [7/]	236.6	7.1	2.9	0.0	0.0	0.0	0.0	0.0	0.0
Spain	40.9	1.2	0.5	0.0	0.0	8.4	0.0	0.0	0.1
United Kingdom	30.3	0.9	0.4	0.0	0.2	1.2	0.0	0.0	0.0
United States	991.8	29.8	12.2	0.0	0.0	0.0	0.0	0.0	0.0
EEC IDA Administered Loans	0.3	0.0	0.0	0.0	0.1	0.0	0.0	0.0	0.0
Commercial creditors	2.5	0.1	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Serbia	2.5	0.1	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Other international creditors [8/]	596.5	17.9	7.3	0.0	0.0	2.3	0.0	0.0	0.0
Algeria	0.5	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Bulgaria	3.7	0.1	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Iraq	63.4	1.9	0.8	0.0	0.0	0.0	0.0	0.0	0.0
Kuwait Fund and Central Bank	125.3	3.8	1.5	0.0	0.0	2.1	0.0	0.0	0.0
Libya	36.2	1.1	0.4	0.0	0.0	0.0	0.0	0.0	0.0
Romania	0.8	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Saudi Arabia	115.0	3.5	1.4	0.0	0.0	0.2	0.0	0.0	0.0
United Arab Emirates	251.6	7.6	3.1	0.0	0.0	0.0	0.0	0.0	0.0
Domestic	67.8	2.0	0.8	0.0	0.0	0.0	0.0	0.0	0.0
Of which: in arrears	67.8	2.0	0.8	0.0	0.0	0.0	0.0	0.0	0.0
Nominal GDP	8158								

Sources: Somalia Debt Management Unit; IMF; World Bank; and AfDB.

1/ Debt records provided by the authorities and reconciled with creditor statements include loans that were contracted from 1965 to 2002. These loans include loans that financed projects in pre-civil war subnational jurisdictions, including Somaliland. For all loans, the recognized debtor is the Ministry of Finance of the FGS or a line ministry of the FGS. Note that this excludes a Russian claim on the Central Bank of Somalia totaling about $7.5 million (or 0.1 percent of GDP), which has been deemed to be not eligible for HIPC debt relief.

2/ IMF debt stock reported in 2021 includes net SDR position of government (used for budget support)

3/ All obligations due the World Bank are to the International Development Association (IDA).

4/ Consistent with HIPC Debt Reconciliation Exercise in 2018. Updated 2019-2021 debt stocks as reported by Somalian Debt Management Unit (DMU), reflecting interim debt relief terms under agreements signed for all PC creditors, except Russia.

5/ Debt cancellation of 100 percent of ODA debt became efective on March 2021. The remaining amount reported represents non-ODA debt under Cologne terms assumptions of interim debt relief.

6/ No debt reduction at the HIPC Decision Point, Japan will cancel 100% of their debt stock at the HIPC Completion Point.

7/ As of time of preparation of this report, Russia has not signed a debt relief agreement with Somalia. The amount reported reflects estimates of interim debt relief under Cologne Terms computed as part of the HIPC DRA.

8/ The amount reported for non-PC creditors reflects estimates of interim debt relief under Cologne Terms computed as part of the HIPC DRA exercise. This follows 2018 Guidance Note for Bank-Fund Debt Sustainablity Framework for Low-Income Countries. Total debt stock for Non-PC reported herein is lower than reported by the DMU, which reflects contractual owed debt less any debt relief expected.